

Water billing review

How the City of Johannesburg charges El Corazon for water, how the scheme re-bills owners, and four options for closing the gap between the two.

R 14,166

CoJ charged us, FY 2025/26

R 23,249

Owners were charged

R 9,084

Difference

1. What we found

The trustee reviewed all twelve City of Johannesburg water invoices for the past financial year against what the scheme billed owners. The council's own arithmetic was reconstructed from the invoices and matches to the cent on eleven of the twelve bills, so the figures below are not estimates.

Four things came out of it.

a. The scheme collects about 64% more for water than the council charges. Over the year owners paid R 23,249 for water consumption — R 17,328 on their meters plus R 5,922 raised through the common-property water provision in the levy. The council charged R 14,166. The difference, **R 9,084 a year or R 108.14 per unit per month**, has been funding the scheme's general budget.

b. Heavy users carry most of that difference, not light users. The scheme bills each unit as if it were a separate council customer, which pushes larger households into price bands the complex as a whole never reached. The council never billed above its third step all year; some units were charged at rates two and three steps higher.

c. The council pools the free allowance; the scheme does not. The complex is given 504 kL free a year — 6 kL per unit per month, seven units. Owners only claimed 404 kL of it. The council let the remaining 99 kL soak up the heavier households' usage; the scheme simply discards it.

d. In a narrow band, using more water costs less. A unit using 6.5 kL is charged less than a unit using 5 kL — a side effect of the minimum charge sitting above a free first tier. It affects roughly one reading a quarter.

2. How the council actually bills us

El Corazon is billed as a **multiple dwelling**. The council applies its household sliding scale **seven times over** — once per unit — and pro-rates every step by the number of days in the reading period. The July 2026 invoice reads:

Step	Volume	Rate	Charge
1 · free allowance	45.536 kL	R 0.00	R 0.00
2	30.357 kL	R 29.84	R 905.85
3	2.107 kL	R 31.15	R 65.63
Total · 78.000 kL over 33 days			R 971.48

The free 45.536 kL is simply 6 kL per unit per month, for seven units, scaled to a 33-day period. **The complex genuinely does receive seven free allowances** — that part of the current billing is correct. What is not correct is that the scheme lets individual units climb past the step the council actually stopped at, and that it gives each unit its own free allowance instead of pooling it as the council does.

3. The constraint that shapes the answer

Levy statements go out on the 1st of every month for the month just ended. That is fixed, and it rules out any method that waits for the council's invoice.

	The scheme	The council
Reading date	Last day of each calendar month	Drifts — 24 to 36 day periods
Period length	Always a calendar month	Never a calendar month
Available when?	Immediately	Weeks later, sometimes not at all

Two consequences follow, and they point in opposite directions.

Owners must be billed from a rate card fixed in advance, not from an invoice that has not arrived. Whatever method is adopted has to produce a printed rate the trustee can apply on the 1st with nothing but the meter readings.

But the council's arithmetic still has to be honoured over the year. The scheme cannot simply invent a rate; it has to recover what it actually pays, no more. That reconciliation happens annually, not monthly.

This also corrects something in the trustee's first draft of this review. It reported that the scheme's fixed monthly allowances were wrong because the council pro-rates its own by days. They are not wrong: the council pro-rates precisely because its periods are irregular, and over a full year the two agree to within 0.05 kL per unit. **Billing calendar months on calendar-month allowances is correct.**

4. Four options

Each is costed as if it had been in force for the whole of the last financial year, using the actual meter readings and the actual council invoices.

A. Keep the current method

Each unit billed on the full household scale, plus a minimum charge below 6 kL, plus a 20 kL common-property provision in the levy. **Leaves the margin, the band problem, the discarded free allowance and the 'more is cheaper' anomaly in place.**

B. Add a floor to the minimum charge

A one-line fix: never charge less than the minimum. Removes the anomaly and nothing else. **Costs no owner more than R 4.30 a month.**

C. One flat rate per kilolitre

Bill every unit at one rate — about R 15.92/kL last year. Simple, and recovers exactly what we pay. **But it abolishes the free 6 kL, so the lightest users pay from the first drop.**

D. A published rate card, reconciled annually — recommended

Take the council's own scale, stop it at the highest step the complex ever reaches, and scale it by a factor set once a year so the scheme recovers exactly what it pays. The result is three numbers printed on the statement:

Consumption in the month	Charge
First 6 kL	free
Next 4 kL (6 – 10 kL)	R 28.48 per kL
Above 10 kL	R 29.73 per kL

Those are last year's figures — the council's R 29.84 and R 31.15 scaled by 0.9543. **The trustee needs nothing but the meter readings to issue a statement on the 1st.** No unit is ever charged above the rate the complex itself pays, every unit keeps its free 6 kL, and using more can never cost less.

Worked examples on that card

Used	3 kL	5 kL	8 kL	12 kL	18 kL	25 kL
Charge	R 0.00	R 0.00	R 56.95	R 173.35	R 351.70	R 559.78

5. What each owner would have paid

Metered water for the twelve months to July 2026, had each option been in force from 1 August 2025. Fixed charges — sewerage and the water demand levy, R 882.22 per unit per month — are identical under every option and are excluded.

Unit	kL used	A keep	B floor	C flat rate	D rate card
Unit 1	183.0	R 3,518	R 3,518	R 2,914	R 3,241
Unit 2	23.6	R 353	R 358	R 375	R 24
Unit 3	226.2	R 5,542	R 5,542	R 3,601	R 4,522
Unit 4	84.0	R 765	R 817	R 1,337	R 588
Unit 5	128.5	R 1,702	R 1,702	R 2,046	R 1,624
Unit 6	212.5	R 5,099	R 5,099	R 3,384	R 4,119
Unit 7	31.9	R 349	R 373	R 508	R 48
Total	889.7	R 17,328	R 17,409	R 14,166	R 14,166

Units 2, 4 and 7 fall close to nil under option D because the council genuinely charged nothing for their water — it fell inside the free allowance. They still pay R 882.22 a month in fixed water charges, so a nil consumption line does not mean free water.

6. The same comparison, with the budget held level

Options C and D hand the R 9,084 margin back to owners. If the body corp's income is to stay unchanged, that must be recovered through the levy — **R 108.14 per unit per month, equally**. On that basis the change is a redistribution between owners rather than a saving:

Unit	B floor	C flat rate	D rate card
Unit 1	+R 0.00	-R 12.66	+R 14.55
Unit 2	+R 0.42	+R 39.50	+R 10.20

Unit	B floor	C flat rate	D rate card
Unit 3	+R 0.00	-R 124.11	-R 47.30
Unit 4	+R 4.30	+R 85.33	+R 22.86
Unit 5	+R 0.00	+R 66.33	+R 31.16
Unit 6	+R 0.00	-R 105.35	-R 44.05
Unit 7	+R 2.06	+R 50.96	+R 12.59
Total	nil	nil	nil

Per owner per month. A plus sign means that owner pays more than today. Every column sums to nil — no money leaves or enters the scheme.

The meeting's real choice sits between the two tables. **Option D alone** returns R 9,084 a year to owners and reduces the budget by the same amount. **Option D with the levy held level** leaves the budget untouched, costs the five lighter households between R 10 and R 31 a month, and returns R 44 to R 47 a month to the two heaviest. Any point between is available.

7. How option D would run

The whole point of the rate card is that the monthly cycle never waits for the council.

When	What happens
At the AGM, once a year	The meeting sets the rate card: the council's newly published step rates, multiplied by a reconciliation factor. Three numbers, printed in the minutes.
1st of every month	Statements go out for the month just ended, priced off the card and the unit meter readings alone. No council invoice is needed, and a late or missing invoice cannot delay a statement.
When each invoice arrives	It is captured as it always has been, for the accounts and for next year's factor. It does not change any statement already issued.
At the year end	The twelve council invoices are compared with the twelve months billed. The difference sets the following year's factor, so any over- or under-recovery corrects itself.

Why a factor is needed at all

The council gives the complex 504 kL free a year and pools it across all seven units. Owners claimed only 404 kL of it; the council let the other 99 kL absorb the heavier households' usage. Billing each unit separately throws that away. The factor — 0.9543 last year — hands it back, spread across owners in proportion to what they used.

Because the factor is set from a full prior year, it is stable. Were it to be wrong by as much as 5%, the year-end correction would be about R 8.43 per unit per month.

8. Recommendation

Adopt option D, and take the margin decision separately. Option D is the only method that both fits the monthly cycle and is defensible line by line — it is the council's own scale, capped at what the complex actually pays. How much of the R 9,084 margin to keep is a budget question, not a billing question, and the meeting should settle it on its own merits.

9. Resolutions for the meeting

Resolution	
9.1	That from 1 September 2026 metered water be billed to units on a rate card comprising a free first 6 kL, a rate for the next 4 kL and a rate above 10 kL, being the City of Johannesburg's corresponding step rates multiplied by a reconciliation factor.
9.2	That no unit be charged at a rate above the highest step the complex itself is billed at.
9.3	That the reconciliation factor be set at this meeting for the year ahead and trued up at the next, on the prior year's council invoices. On FY 2025/2026 it would have been 0.9543, giving a card of free / R 28.48 / R 29.73 per kL.
9.4	That the 20 kL common-property water provision be discontinued, the council's charge for common-property water being recovered within 9.1.
9.5	That the levy be adjusted by _____ per unit per month in consequence of 9.1 and 9.4.
9.6	That the February 2026 council invoice be retrieved and the accounting record corrected, it being recorded at R 1,216.06 against invoice arithmetic of R 940.34.

Basis of preparation

Twelve City of Johannesburg water invoices for billing periods August 2025 to July 2026, read directly from the scanned originals; unit meter readings as recorded in the scheme's billing system for the same months. The council's step calculation was reconstructed independently and agrees to the cent on eleven of the twelve invoices; the twelfth is the February 2026 invoice noted at 9.6. The council's reading dates run from 24 to 36 days and do not align to calendar months, so the two records are compared over the year as a whole rather than month by month; the offset between them is constant and does not accumulate. Unit 2's December 2025 reading is negative and has been treated as nil pending correction.